

GiftCompass — Business Model Canvas

AI-assisted, privacy-first gift recommendation for the Jeddah market

Version 02 | 1 October 2026 | Effat University, CS4176

1. KEY PARTNERS Potential partners only. No agreement is in place with any company named below. These are organisations GiftCompass intends to approach. <i>Retail (to contact)</i> - Amazon.sa, Noon, Jarir - Jeddah flower shops - Jeddah chocolate shops - Jeddah gift and lifestyle shops <i>Delivery (to contact)</i> - Aramex, SMSA - Local Jeddah courier companies <i>Payments (to contact)</i> - Moyasar, Tap, HyperPay <i>Buy Now Pay Later (to contact)</i> - Tabby, Tamara <i>Technology</i> - Cloud, hosting and AI providers - Infrastructure selected with Saudi PDPL requirements in mind <i>Academic (confirmed)</i> - Effat University — course supervision and project review	2. KEY ACTIVITIES - Develop and maintain the GiftCompass platform - AI-assisted matching, filtering and ranking - Consent-based profiling: buyer quiz plus recipient opt-in link - Product catalogue management: keeping prices and availability accurate and verified - Partner onboarding and retail partner management - Order and delivery coordination (<i>Phase 1B</i>) - Recommendation evaluation and improvement - Customer support - PDPL and privacy compliance - Marketing and customer acquisition 3. KEY RESOURCES - GiftCompass platform (mobile-friendly website) - AI recommendation engine and matching logic - Curated catalogue: 187 demonstration items in 12 categories, priced in SAR - Shared interest vocabulary linking profiles to products - Consented recipient profiles (opt-in) - Retail, delivery and payment partners - Development and technical team - GiftCompass brand - Feedback and evaluation data - Secure cloud and database hosting	4. VALUE PROPOSITIONS <i>For gift buyers (paying side)</i> - Recommendations matched to the <i>recipient</i>, not only to the occasion - Matching on interests, relationship, occasion, budget and preferences - Less gift-selection stress - Saves time: a decision in minutes rather than an evening of browsing - A short, focused set of options instead of endless choice - A clear explanation of why each gift fits that person - Jeddah availability and SAR pricing throughout - Privacy-first personalization: the 10-question quiz plus an optional opt-in recipient profile. No scraping - Optional reusable recipient profiles for future occasions - End-to-end gifting in one flow: Recommend → Buy → Wrap → Add card → Deliver (<i>Phase 1B</i>) - Built for Saudi occasions: Eid, graduation, weddings, newborns, birthdays <i>For gift recipients (non-paying side)</i> - Optional opt-in Gift Profile; they review every inferred interest and can remove any of them before anything is stored - Nothing is collected without their own action <i>For retail partners (partner side)</i> - Access to buyers already showing purchase intent - Intent-matched referrals rather than broad advertising	5. CUSTOMER RELATIONSHIPS - Self-service, personalized experience Main route: the buyer's 10-question quiz - Saved recipient profiles for reuse - Optional recipient-created Gift Profiles - Refinement on demand: cheaper, more practical, more sentimental, more unusual, different category - Occasion and birthday reminders (<i>planned</i>) - Feedback after purchase and delivery - Feedback improves future recommendations - Order and delivery support (<i>Phase 1B</i>) 6. CHANNELS - GiftCompass mobile-friendly website — the initial platform - Instagram content - TikTok content — marketing only. No recipient data is taken from TikTok - Snapchat content - University ambassadors - Partner stores and in-store referral - WhatsApp sharing of recipient Gift Profile links - Search and digital marketing - Native mobile application — <i>later phase, not at launch</i>	7. CUSTOMER SEGMENTS GiftCompass is a multi-sided market. Three distinct sides, only one of which pays at launch. <i>A. Gift buyers — primary paying customers</i> - University students - Young professionals - Busy professionals with little time to shop - People buying for Saudi occasions: Eid, graduations, birthdays, weddings, newborns - Corporate gifting and HR teams — <i>possible future B2B segment</i> <i>B. Gift recipients — do not pay</i> - May optionally complete their own opt-in Gift Profile to improve the match - Benefit without ever paying or registering <i>C. Retail and delivery partners — may pay</i> - Retailers supply products and fulfil orders - Delivery partners carry out delivery - Retail partners may pay GiftCompass through commission or a commercial partnership To be validated. These segments are assumptions. Customer interviews are intended to test them; none has been conducted to date.
8. COST STRUCTURE <i>Fixed / operating (monthly)</i> - Platform development and maintenance - Cloud hosting and managed database - AI / LLM API infrastructure - Domain and software fees - Legal, privacy and PDPL review - Marketing - Staff and development cost - Partner onboarding and management	<i>Variable / per order</i> - Payment gateway fee $\approx 2.5\%$ — GiftCompass (<i>Phase 1B</i>) - Wrapping materials $\approx \text{SAR } 10$ — GiftCompass - AI and hosting $\approx \text{SAR } 1$ per order — GiftCompass - Customer and order support — GiftCompass - Delivery — normally passed to the customer; any share GiftCompass absorbs is TBD	9. REVENUE STREAMS <i>Phase 1A — validate demand</i> - Affiliate / referral commission at partner retailers - Fast to test, but little control over checkout, wrapping and delivery <i>Phase 1B — GiftCompass checkout</i> - Commission on each partner sale - Fixed service fee per order - Gift-wrapping margin - Greeting-card and gift-card upsells - Express-delivery and convenience upsells <i>Phase 2 — after demand is proven</i> - Premium subscription — price TBD after customer interviews - GiftCompass-owned products in proven high-demand categories - Corporate gifting - Sponsored placements, clearly labelled Trust rule. Sponsored placements must be clearly labelled and must never silently determine which gifts are recommended. Ranking stays driven by the recipient profile.		

Labelling convention. **Confirmed** — already decided in the GiftCompass project. **Assumption** — a working figure that has not been validated. **Potential partner** — a company we intend to contact; no agreement exists. **To be validated** — to be tested through customer interviews, partner quotations and pilot data. Phase 1B requires payments, wrapping and delivery, which the current SRS v1.0 places out of scope — see the note on page 2.

GiftCompass — Pricing & Monetization (KPI 3)

Named pricing assumptions, cost breakdown, and how money reaches GiftCompass

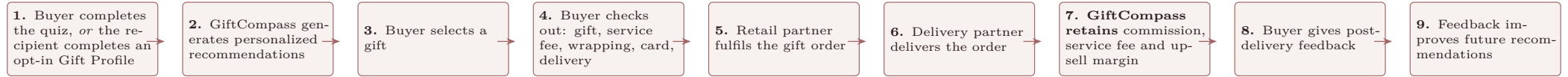
A. REVENUE MODEL BY PHASE

Phase	Revenue stream	Status and control
1A <i>validate demand</i>	Affiliate / referral commission at partner retailers	Fastest to test. GiftCompass does not control checkout, wrapping or delivery. Matches the current SRS v1.0 scope.
1B <i>GiftCompass checkout</i>	1. Commission on each partner sale 2. Fixed GiftCompass service fee per order 3. Gift-wrapping margin 4. Greeting-card and gift-card upsells 5. Express-delivery / convenience upsells	Requires a GiftCompass-operated checkout. Scope change: payments, wrapping and delivery are listed <i>out of scope</i> in SRS v1.0 and would have to be added before this phase can be built.
2 <i>after demand is proven</i>	Premium subscription; GiftCompass-owned products in proven categories; corporate gifting; clearly labelled sponsored placements	Only after Phase 1 demand is proven. Sponsored placements are labelled and never silently reorder recommendations.

B. INITIAL PRICING ASSUMPTIONS — FOR VALIDATION

Item	Assumption	Basis and status
Average example gift price	SAR 200	Near the catalogue median of SAR 190 (mean SAR 303).
Partner commission	8%	Not negotiated with any retailer. Published marketplace rates run roughly 1–10% by category; 8% most likely needs a direct local partnership.
GiftCompass service fee	SAR 10 / order	Willingness to pay is untested.
Gift wrapping — sale price	SAR 25	Untested.
Gift wrapping — cost	SAR 10	Needs a supplier quotation.
Payment gateway fee	≈2.5%	Needs a quotation from Moyasar, Tap or HyperPay.
AI + hosting allocation	≈SAR 1 / order	See the reconciliation note in section F.
Premium subscription	TBD	Set after customer interviews. Provisional modelling range only: SAR 49–99 per year.
Delivery	TBD	Depends on partner and distance; normally passed to the customer.

C. MONETIZATION PROCESS — HOW MONEY REACHES GIFTCOMPASS



Phase 1A — affiliate: GiftCompass → affiliate link → *the retailer's* checkout → retailer fulfils and delivers → retailer reports the sale → **GiftCompass receives commission only.** Steps 4, 5 and 6 happen outside GiftCompass, so the service fee, wrapping and delivery upsells do not exist in this phase.

Phase 1B — GiftCompass checkout: GiftCompass → *GiftCompass* checkout, where the buyer pays the whole basket → GiftCompass pays the retailer the gift price less commission → retailer fulfils → delivery partner delivers → **GiftCompass retains commission + service fee + wrapping and card margin.**

D. COST BREAKDOWN — FIXED VS VARIABLE

Fixed / operating cost	Paid by	Status
Website and platform development	GiftCompass	Team labour to date
Cloud hosting	GiftCompass	Free tier now, paid at launch
Database	GiftCompass	Free tier now, paid at launch
AI / LLM / API infrastructure	GiftCompass	Measured per journey
Domain and software fees	GiftCompass	Confirmed, small
Legal, privacy and PDPL review	GiftCompass	TBD — no quotation yet
Marketing	GiftCompass	TBD — budget not set
Staff / development cost	GiftCompass	Unpaid student labour now
Partner onboarding and management	GiftCompass	Mostly team time
Variable / per-order cost	Paid by	Status
Payment gateway fee ≈2.5% <i>(1B)</i>	GiftCompass	Assumption
Wrapping materials ≈SAR 10	GiftCompass	Assumption
AI / API cost per order ≈SAR 1	GiftCompass	Assumption
Customer and order support	GiftCompass	Team time; not costed
Delivery	Customer	TBD — any absorbed share

E. INITIAL UNIT ECONOMICS ASSUMPTION — FOR VALIDATION

Line	Calculation	Amount (SAR)
Example gift price	Assumption	200
Commission revenue	8% × 200	+16
GiftCompass service fee	Fixed, per order	+10
Wrapping paid by the buyer	Sale price	+25
Wrapping materials	Estimated cost	−10
Payment gateway fee	≈2.5% × 235 collected	−6
AI + hosting allocation	Per order	−1
Contribution before marketing	16 + 10 + 25 − 10 − 6 − 1	≈ 34
<i>Phase 1A, for comparison</i>	<i>commission 16 − AI/hosting 1</i>	<i>≈ 15</i>

These figures are illustrative assumptions, not results. SAR 34 is not a guaranteed profit. It is a contribution *before* marketing, support, fixed cost and any delivery GiftCompass absorbs, and every input above is unvalidated. In this example the buyer pays a basket of SAR 235 (200 + 10 + 25) plus delivery, of which SAR 184 is remitted to the retailer.

F. WHAT STILL NEEDS VALIDATION

Replace these figures using

- Partner and supplier quotations (commission, wrapping)
- Payment gateway pricing from Moyasar, Tap or HyperPay
- Delivery quotations from Aramex, SMSA or local couriers
- Customer interviews on willingness to pay, and real transaction data from a Jeddah pilot

Known tensions in these numbers

- The SAR 1 per order AI and hosting allocation implies about one order per ten sessions. The feasibility study measures SAR 0.09 per user journey and plans on 1.5% conversion, which would put the allocation nearer SAR 6 per order.
- 8% exceeds the 5% blended commission used in the feasibility study.

Not yet done

- No customer interview, survey or focus group has been conducted.
- No partnership, pilot or sale has taken place.
- No price on this page has been tested with a buyer.
- Phase 1B needs an SRS scope change before it can be built.